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Elysium Health, Inc.*

**UNITED STATES DISTRICT COURT  
FOR THE CENTRAL DISTRICT OF CALIFORNIA  
(SOUTHERN DIVISION)**

|                       |   |                                         |
|-----------------------|---|-----------------------------------------|
| CHROMADEx, INC.,      | } | Case No. 8:16-cv-02277-CJC-DFM          |
| Plaintiff,            | } | <b>SECOND AMENDED<br/>COUNTERCLAIMS</b> |
| v.                    | } |                                         |
| ELYSIUM HEALTH, INC., | } | <b><u>DEMAND FOR JURY TRIAL</u></b>     |
| Defendant.            | } |                                         |

1 **COUNTERCLAIMS**

2 Defendant Elysium Health, Inc. (“Elysium”), by and through its undersigned  
3 counsel, files these Counterclaims against ChromaDex, Inc. (“ChromaDex”) and  
4 alleges on personal knowledge as to its own acts and on information and belief as to  
5 all other matters as follows:

6 **NATURE OF THE CASE**

7 1. This is an action for fraud, breach of contract, unfair competition and  
8 declaratory judgment. Elysium and ChromaDex were parties to three contracts: (1)  
9 the Niagen Supply Agreement, dated February 3, 2014, as amended by the  
10 Amendment to Supply Agreement, dated February 19, 2016 (the “NR Supply  
11 Agreement”); (2) the pTeroPure Supply Agreement, dated June 26, 2014 (the “PT  
12 Supply Agreement,” and, together with the NR Supply Agreement, the “Supply  
13 Agreements”); and (3) the Trademark License and Royalty Agreement, dated  
14 February 3, 2014 (the “License and Royalty Agreement”) (collectively, “the  
15 Agreements”).

16 2. Elysium sells a dietary supplement, Basis, that combines nicotinamide  
17 riboside (sometimes called “NR”) and pterostilbene (sometimes called “PT”).

18 3. Pursuant to the Supply Agreements, ChromaDex provided Elysium with  
19 nicotinamide riboside and pterostilbene. ChromaDex sells nicotinamide riboside  
20 under the name NIAGEN®, a federally registered trademark.

21 4. At the time the NR Supply Agreement and License and Royalty  
22 Agreement were executed, ChromaDex had, and still has, market power in the  
23 market for supply of nicotinamide riboside in the United States and worldwide. It is  
24 currently the sole commercial supplier of nicotinamide riboside.

25 5. ChromaDex has in-licensed several patents relating to nicotinamide  
26 riboside. ChromaDex’s market power comes from, among other things, the patents it  
27 has in-licensed. Although the NR Supply Agreement includes no express license to  
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1 ChromaDex's patent rights, ChromaDex's supply of nicotinamide riboside under the  
2 NR Supply Agreement necessarily includes an implied sublicense for Elysium to use  
3 ChromaDex's license under principles of patent exhaustion and other law.

4 6. ChromaDex has committed patent misuse and engaged in unfair  
5 competition by leveraging its market power in the supply of nicotinamide riboside to  
6 impose conditions on its customers that impermissibly broaden the scope of the  
7 patent grant with anticompetitive effect. For example, on multiple occasions  
8 ChromaDex has conditioned its sale of nicotinamide riboside on the purchaser's  
9 agreement to license ChromaDex's trademarks and pay ChromaDex substantial  
10 royalties on product sales based on that trademark license. With respect to Elysium,  
11 ChromaDex conditioned its execution of the NR Supply Agreement on Elysium's  
12 simultaneous execution of the License and Royalty Agreement, which forced  
13 Elysium to pay a substantial royalty to ChromaDex on all Elysium products  
14 containing ingredients supplied by ChromaDex under the NR Supply Agreement,  
15 even if Elysium does not use, and does not want to use, any ChromaDex marks.

16 7. ChromaDex induced Elysium to sign the License and Royalty  
17 Agreement by insisting, falsely, that ChromaDex required all of its nicotinamide  
18 riboside customers to sign similar royalty agreements.

19 8. The NR Supply Agreement also contains multiple covenants that have  
20 been breached by ChromaDex. Under the NR Supply Agreement, Elysium is  
21 entitled to receive pricing on nicotinamide riboside that is at least as favorable as the  
22 price at which ChromaDex supplies nicotinamide riboside or a substantially similar  
23 product to other purchasers, but never more than a certain maximum price (the  
24 "Most Favored Nations Provision" or "MFN Provision").

25 9. The MFN Provision further provides that ChromaDex must promptly  
26 issue a refund or credit to Elysium in the event that ChromaDex sells nicotinamide  
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1 riboside or a substantially similar product to another purchaser for an amount less  
2 than Elysium has paid for nicotinamide riboside.

3 10. As amended, the NR Supply Agreement prohibits ChromaDex from  
4 selling, or licensing or enabling any third party to manufacture or sell, a product  
5 containing both nicotinamide riboside and either pterostilbene or any ingredient  
6 substantially similar to pterostilbene, either in combination or in separate form but  
7 marketed together (the “Exclusivity Provision”).

8 11. ChromaDex materially breached the MFN Provision and the Exclusivity  
9 Provision of the NR Supply Agreement.

10 12. With respect to the MFN Provision, on June 13, 2016, in response to a  
11 request from Elysium for information regarding ChromaDex’s compliance with the  
12 MFN Provision, ChromaDex’s CEO, Frank Jaksch, provided Elysium with a  
13 manipulated and misleading Excel spreadsheet (the “Fraudulent Spreadsheet”)  
14 purporting to list the prices at which ChromaDex was selling nicotinamide riboside  
15 to purchasers other than Elysium under various supply agreements.

16 13. The Fraudulent Spreadsheet was described by Mr. Jaksch as a “blinded”  
17 list of the prices at which ChromaDex was selling nicotinamide riboside to other  
18 customers, without revealing those customers’ identities. As part of the Fraudulent  
19 Spreadsheet, however, Jaksch inadvertently neglected to delete two tabs containing  
20 “unblinded” sheets apparently used as a basis for preparing the Fraudulent  
21 Spreadsheet. Those “unblinded” sheets listed additional customers that Jaksch  
22 notably omitted from the “blinded” sheets, and confirm – contrary to Jaksch’s  
23 intended deception – that ChromaDex had agreed to sell nicotinamide riboside to  
24 other purchasers at a price more favorable than the price at which ChromaDex had  
25 sold nicotinamide riboside to Elysium. Moreover, the Fraudulent Spreadsheet  
26 revealed, contrary to what ChromaDex had represented to induce Elysium to execute  
27 the License and Royalty Agreement, that some ChromaDex customers were not  
28

1 required to sign similar license and royalty agreements. The Fraudulent Spreadsheet  
2 thus revealed not only that ChromaDex had been acting in violation of the MFN  
3 Provision, but also that it had fraudulently induced Elysium to enter into the License  
4 and Royalty Agreement.

5 14. On a June 30, 2016 phone call with two of Elysium's co-founders, Eric  
6 Marcotulli and Dan Alminana, Jaksch confirmed that other purchasers of  
7 nicotinamide riboside had been paying a price substantially lower than Elysium had  
8 been paying, in violation of the MFN Provision.

9 15. On June 30, 2016, Elysium submitted purchase orders for 3000 kg of  
10 nicotinamide riboside and 580 kg of pterostilbene, with the understanding that  
11 ChromaDex would promptly issue a refund or credit to Elysium on account of  
12 ChromaDex's breach of the MFN Provision (the "June 30 Purchase Orders").

13 16. After submitting the June 30 Purchase Orders, Elysium discovered  
14 another breach of the NR Supply Agreement. With respect to the Exclusivity  
15 Provision, around August 2016, Elysium learned that other products containing both  
16 nicotinamide riboside and pterostilbene or nicotinamide riboside and resveratrol, a  
17 product substantially similar to pterostilbene, were being sold on the market by other  
18 ChromaDex customers.

19 17. Elysium also learned after submitting the June 30 Purchase Orders that  
20 ChromaDex was not only enabling other customers to manufacture and sell products  
21 that combined nicotinamide riboside and pterostilbene or the substantially similar  
22 ingredient resveratrol, but was actively recommending to other customers that they  
23 create such products to compete with Elysium's Basis, in violation of the Exclusivity  
24 Provision.

25 18. In violation of the NR Supply Agreement, ChromaDex has failed to  
26 issue a refund or credit to remedy its breaches of the MFN Provision since filing the  
27

1 June 30 Purchase Orders. It also has failed adequately to remedy the more recently  
2 discovered violations of the Exclusivity Provision.

3 19. As a result of ChromaDex's breaches of the MFN Provision and  
4 Exclusivity Provision of the NR Supply Agreement, and its fraudulent and coercive  
5 conduct in inducing Elysium into executing the License and Royalty Agreement,  
6 Elysium has sustained, and continues to sustain, damages. Because only  
7 ChromaDex knows the full extent of its breaches of the NR Supply Agreement, and  
8 because such breaches are continuing in nature, Elysium cannot yet calculate its  
9 damages with precision.

10 20. Through these Counterclaims, Elysium seeks to obtain restitution and to  
11 recover for the damages, the full amount of which is yet unknown, that it has  
12 sustained as a result of ChromaDex's breaches of contract and fraud.

13 21. Elysium further seeks a declaratory judgment that ChromaDex's patent  
14 rights are unenforceable due to ChromaDex's patent misuse in conditioning access to  
15 its patent rights to a purchase of a license to ChromaDex's trademarks. Elysium  
16 further seeks a declaration that ChromaDex has not purged its misuse and has not  
17 dissipated the effects of the misuse. Elysium also seeks restitution for its injuries and  
18 ChromaDex's unjust enrichment as a result of the misuse.

### 19 **JURISDICTION AND VENUE**

20 22. This Court has jurisdiction over this action pursuant to 28 U.S.C. § 1332  
21 in that it is an action between citizens of different states and the matter in  
22 controversy exceeds the sum or value of \$75,000 exclusive of interest and costs.

23 23. Venue is proper in this District because ChromaDex resides within the  
24 District.

### 25 **THE PARTIES**

26 24. Counterclaimant Elysium is a Delaware corporation with its principal  
27 place of business in New York. Elysium manufactures and sells the dietary  
28

1 supplement Basis, which combines nicotinamide riboside, pterostilbene and other  
2 ingredients.

3 25. Counterdefendant ChromaDex is a California corporation with its  
4 principal place of business in California. ChromaDex distributes, among other  
5 things, nicotinamide riboside and pterostilbene.

6 **FACTUAL ALLEGATIONS**

7 **ChromaDex Exploits Market Power in the Market For Supply of NR**

8 26. Nicotinamide riboside is a pyridine nucleoside form of Vitamin B<sub>3</sub> that  
9 functions as an efficient precursor to oxidized nicotinamide adenine dinucleotide  
10 (NAD<sup>+</sup>). NAD<sup>+</sup> is a coenzyme found in all living cells that plays an essential role in  
11 hundreds of metabolic processes.

12 27. Nicotinamide riboside is found in nature, including in milk.  
13 ChromaDex marketing materials admit that nicotinamide riboside is “naturally-  
14 occurring” and state that ChromaDex’s nicotinamide riboside product, Niagen, is  
15 “nature-identical.” Niagen® is the federally registered trademark used by  
16 ChromaDex to market its nicotinamide riboside product.

17 28. Despite the fact that nicotinamide riboside is a naturally-occurring  
18 product, at the time the parties executed the NR Supply Agreement, ChromaDex had,  
19 and still has, market power in the market for supply of nicotinamide riboside in the  
20 United States and worldwide.

21 29. At all relevant times, ChromaDex has had no competitors in the market  
22 for supply of nicotinamide riboside. ChromaDex has been the sole commercial  
23 supplier of nicotinamide riboside, and every nicotinamide riboside product in the  
24 global market today is supplied by ChromaDex. ChromaDex’s website states that  
25 Niagen is “the world’s first and only commercially available nicotinamide riboside.”

26 30. On multiple occasions, Jaksch stated to Elysium that “I am NR,”  
27 referring to nicotinamide riboside.

1           31. ChromaDex does not itself manufacture nicotinamide riboside nor does  
2 it have the manufacturing capabilities to do so. Instead, ChromaDex is solely a  
3 middleman in supplying nicotinamide riboside to the market. ChromaDex obtains its  
4 nicotinamide riboside from a third-party contract manufacturer. ChromaDex's  
5 contract manufacturer is under an exclusive dealing arrangement, and is prohibited  
6 by ChromaDex from selling nicotinamide riboside to any customer other than  
7 ChromaDex. ChromaDex then resells the nicotinamide riboside at a substantial  
8 markup to the global market.

9           32. As a consequence of its market power, ChromaDex is able to control  
10 output of nicotinamide riboside and to charge prices for nicotinamide riboside that  
11 are substantially in excess of ChromaDex's marginal cost for obtaining it.  
12 ChromaDex is also able to dictate different prices for nicotinamide riboside to its  
13 different customers.

14           33. ChromaDex's market power comes from, among other things, patents it  
15 has in-licensed relating to nicotinamide riboside. These include U.S. Patent Nos.  
16 8,383,086 ("the '086 patent") and 8,197,807 ("the '807 patent"), which are assigned  
17 to the Trustees of Dartmouth College ("Dartmouth"). ChromaDex has exclusively  
18 licensed the '086 and '807 patents from Dartmouth.

19           34. Claim 1 of the '086 patent, its only independent claim, claims:

20           1. A pharmaceutical composition comprising nicotinamide  
21 riboside in admixture with a carrier, wherein said composition  
22 is formulated for oral administration.

23           35. Claim 1 of the '807 patent, its only independent claim, claims:

24           1. A composition comprising isolated nicotinamide riboside in  
25 combination with one or more of tryptophan, nicotinic acid, or  
26 nicotinamide, wherein said combination is in admixture with a  
27 carrier comprising a sugar, starch, cellulose, powdered  
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1           tragacanth, malt, gelatin, talc, cocoa butter, suppository wax,  
2           oil, glycol, polyol, ester, agar, buffering agent, alginic acid,  
3           isotonic saline, Ringer's solution, ethyl alcohol, polyester,  
4           polycarbonate, or polyanhydride, wherein said composition is  
5           formulated for oral administration and increases NAD+  
6           biosynthesis upon oral administration.

7           36. ChromaDex's website lists a number of other patents relating to  
8           nicotinamide riboside and its manufacture, including U.S. Patent Nos. 8,106,184  
9           ("the '184 patent"), 8,114,626 ("the '626 patent") and 7,776,326 ("the '326 patent").

10          37. ChromaDex has exclusively licensed the '184 patent from Cornell  
11          University, the '626 patent from Dartmouth and the '326 patent from Washington  
12          University.

13          38. ChromaDex's website repeatedly publicizes the patents it has obtained  
14          for nicotinamide riboside and its manufacture and the "proprietary" nature of its  
15          asserted rights to a naturally-occurring molecule.

16          39. ChromaDex has leveraged its market power in the supply of  
17          nicotinamide riboside to impose conditions on its customers that impermissibly  
18          broaden the scope of the patent grant with anticompetitive effect. In particular,  
19          ChromaDex has sometimes conditioned its sale of nicotinamide riboside on the  
20          purchaser's agreement to license ChromaDex's trademarks and pay substantial  
21          royalties to ChromaDex based on that trademark license.

22          40. In some instances, ChromaDex has required purchasers not only to  
23          license, but also to use ChromaDex trademarks in order to obtain a supply of  
24          nicotinamide riboside.

25          41. ChromaDex's tying of its patent rights to a trademark license has  
26          substantial anticompetitive effects and secures rights and monopolies that extend  
27          beyond the patent grant. By conditioning access to nicotinamide riboside to payment  
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1 of royalties on product sales under a trademark license for ChromaDex's Niagen®  
 2 mark, ChromaDex coerced customers into paying for the right to use a mark they do  
 3 not need or may not want to use. To the extent customers do use ChromaDex's  
 4 licensed marks, the effect is to strengthen the association of nicotinamide riboside  
 5 with ChromaDex, thereby further extending ChromaDex's market power in the  
 6 supply of nicotinamide riboside even beyond the expiration of ChromaDex's patent  
 7 estate.

8 **ChromaDex Fraudulently Induces Elysium to Sign the License and**  
 9 **Royalty Agreement and Conditions Its Supply of Nicotinamide**  
 10 **Riboside to Elysium on an Agreement to License and Pay Royalties for**  
 11 **ChromaDex Trademarks that Elysium Does Not Use and Does Not Want to Use**

12 42. Elysium is a dietary supplement company that currently sells a single  
 13 product, Basis, which combines nicotinamide riboside, pterostilbene and certain  
 14 inactive ingredients.

15 43. In the summer and early fall of 2013, Elysium engaged in discussions  
 16 with ChromaDex about obtaining a supply of nicotinamide riboside.

17 44. From the outset, ChromaDex emphasized to Elysium the onerous terms  
 18 it had been able to require from its business partners. In an August 26, 2013 e-mail  
 19 to Leonard Guarente, one of Elysium's co-founders, Jaksch said that ChromaDex  
 20 sought to require upfront cash payments, minimum purchase commitments, royalties  
 21 and even equity positions from businesses seeking to use ChromaDex as a source for  
 22 the supply of nicotinamide riboside.

23 45. In response, Elysium stated its enthusiasm for NAD-related products,  
 24 but explained that it had limited resources and likely could not meet all of  
 25 ChromaDex's onerous requirements. However, Elysium expressed interest in  
 26 exploring solutions that would benefit ChromaDex, Elysium and consumers through  
 27 increased access to NAD-based products.

1           46. On November 8, 2013, Marcotulli sent a draft patent license and supply  
2 agreement under which ChromaDex agreed to supply nicotinamide riboside to  
3 Elysium for a maximum price. The draft also included a patent and know-how  
4 license permitting Elysium to make, use, sell, offer to sell or import products  
5 containing nicotinamide riboside, including a license granting Elysium the right to  
6 manufacture nicotinamide riboside on its own if it wished. The agreement did not  
7 contain a trademark license.

8           47. ChromaDex, through Jaksch, responded by email on December 13,  
9 2013, attaching a revised draft supply agreement and stating that ChromaDex would  
10 require Elysium not only to enter into a supply agreement, but also a brand license  
11 agreement, which Jaksch would send later. Jaksch explained that this forthcoming  
12 agreement would include royalty obligations.

13           48. In its December 13, 2013 draft of the supply agreement, apparently  
14 trying to avoid an obligation to pay patent sublicensing fees to its licensors,  
15 ChromaDex removed all references to a patent license. In sending the revised draft  
16 to Elysium, ChromaDex included a note that it “will include licensing rights in the  
17 Niagen [trademark] in a separate agreement which will also contain the Royalty  
18 Payments.”

19           49. On December 16, 2013, on a phone call between Jaksch, Marcotulli and  
20 Alminana, Jaksch falsely represented that all of ChromaDex’s customers who signed  
21 purchase agreements to obtain nicotinamide riboside were also required to sign  
22 separate trademark license and royalty agreements, whether they wanted to or  
23 intended to use ChromaDex marks or not.

24           50. Four days later, on December 20, 2013, Jaksch sent another e-mail  
25 reemphasizing that ChromaDex would require a “Niagen TM Agreement” that  
26 would include royalty requirements.

1           51. On December 27, 2013, Jaksch sent a draft trademark license agreement  
2 along with a revised supply agreement. The draft trademark license, like the supply  
3 agreement, omitted any express patent license.

4           52. In reliance on ChromaDex's false representation that it required all of  
5 its customers to execute trademark license and royalty agreements, Elysium  
6 concluded that the issue was non-negotiable, and instead focused its efforts on  
7 negotiating the other provisions of the NR Supply Agreement.

8           53. Ultimately, given ChromaDex's position at the time as the sole  
9 commercial supplier of nicotinamide riboside, and given ChromaDex's  
10 representation that all customers who obtained nicotinamide riboside were required  
11 to pay royalties on sales under a trademark license agreement, Elysium determined it  
12 had no choice but to agree to ChromaDex's requirement that it also license  
13 ChromaDex's trademarks, and agree to pay substantial royalties on Elysium product  
14 sales under the trademark license if it wished to obtain access to nicotinamide  
15 riboside.

16           54. The parties executed the NR Supply Agreement and License and  
17 Royalty Agreement on February 3, 2014. Under the NR Supply Agreement,  
18 ChromaDex agreed to supply Elysium with nicotinamide riboside at or below a  
19 designated maximum price. That maximum price, and the price that Elysium in fact  
20 has paid ChromaDex for nicotinamide riboside, is substantially higher than  
21 ChromaDex's marginal cost for obtaining nicotinamide riboside.

22                   **ChromaDex Unlawfully Tied Royalty Payments Under**  
23                   **the License and Royalty Agreement to the Price of ChromaDex's Supply**

24           55. As noted, the NR Supply Agreement contains no express license to  
25 ChromaDex's patent rights. However, because ChromaDex itself was supplying  
26 nicotinamide riboside under the agreement for use in Elysium's products, its supply  
27 of that ingredient included an implied sublicense to ChromaDex's patents under  
28

1 principles of patent exhaustion and other applicable law. ChromaDex's sale of  
2 nicotinamide riboside to Elysium is an authorized sale of nicotinamide riboside and  
3 constitutes ChromaDex's compensation for its nicotinamide riboside product.

4 56. The License and Royalty Agreement granted Elysium a license to use  
5 ChromaDex's trademarks, including Niagen®. The License and Royalty Agreement  
6 was expressly tied to ChromaDex's supply of nicotinamide riboside. It could not be  
7 terminated by Elysium without ChromaDex's consent, unless the NR Supply  
8 Agreement also was terminated.

9 57. In exchange for the trademark license, Elysium was required to pay a  
10 substantial royalty on all products containing any ingredients supplied by  
11 ChromaDex under the NR Supply Agreement upon any sale of those products. This  
12 was true whether or not Elysium used any ChromaDex marks at all.

13 58. Not only is the royalty obligation unconnected to use of ChromaDex's  
14 trademarks, but the royalty rate also changes for reasons unrelated to use of any  
15 trademarks. Instead, for example, the royalty rate increased as Elysium's annual  
16 worldwide net sales of products containing ingredients supplied by ChromaDex  
17 increases.

18 59. The License and Royalty Agreement also provided that the royalty rate  
19 for access to ChromaDex's trademarks increase, by as much as 50%, as Elysium's  
20 per-kilogram price under the NR Supply Agreement dropped. This forced royalty  
21 step-up had the effect of increasing Elysium's royalty burden even as ChromaDex's  
22 ability to extract higher prices diminishes – such as, for example, when its patent  
23 rights expire and its market power diminishes. It also insulated ChromaDex from the  
24 effects of patent expiration and invalidity, eventually providing ChromaDex with  
25 unlawful post-expiration royalties for sales of unpatented products.

26 60. By tying payments of royalties under the trademark license (which must  
27 be paid even if the trademarks are not used) inversely to the price of ChromaDex's  
28

1 supply, the agreement provided additional means for ChromaDex to protect its  
2 market power in nicotinamide riboside, unlawfully extend ChromaDex's patent  
3 monopoly, and adversely affect competition.

4 **The MFN and Exclusivity Provisions**

5 61. Under the NR Supply Agreement's MFN Provision, Elysium agreed to  
6 pay to ChromaDex a specified maximum price for nicotinamide riboside. However,  
7 if "ChromaDex supplies [nicotinamide riboside] (or a substantially similar product)  
8 to a Third Party at a price that is lower than that at which [nicotinamide riboside] is  
9 supplied to Elysium under this Agreement, then the price of [nicotinamide riboside]  
10 supplied under this Agreement shall be revised to such Third Party price with effect  
11 from the date of the applicable sale to such Third Party."

12 62. The MFN Provision further provides that "ChromaDex shall promptly  
13 provide Elysium Health with any refund or credits thereby created [by virtue of  
14 ChromaDex's sale of nicotinamide riboside to a third party for a lesser price],  
15 provided Elysium Health purchases equal volumes or higher volumes than the Third  
16 Party."

17 63. The parties amended the NR Supply Agreement on February 19, 2016.  
18 The amendment provides that "ChromaDex shall not, directly or indirectly, sell,  
19 transfer or otherwise provide to any Third Party, or license or otherwise enable any  
20 Third Party to make, any products containing" nicotinamide riboside and either  
21 pterostilbene or any other ingredient "substantially similar" to pterostilbene,  
22 "whether in the same delivery mechanism . . . or packaging or in separate form or  
23 packaging but marketed together."

24 64. ChromaDex and Elysium knew that, if another ChromaDex customer  
25 were permitted to manufacture a substantially similar combination to Basis,  
26 Elysium's business – which involves selling that single combination as its only  
27 currently marketed product – could be irreparably damaged.

**ChromaDex Breaches the NR Supply Agreement and Inadvertently  
Discloses Its Own Breach in Another Attempt to Defraud Elysium**

65. On May 29, 2016, Alminana requested from Jaksch data listing the prices at which ChromaDex was selling nicotinamide riboside to other customers. At the time Alminana made this request, Elysium recognized that it was an exemplary customer of ChromaDex, even “self-policing” the parties’ contracts to ensure that ChromaDex was receiving the payments prescribed by the contracts. Alminana’s friendly request was intended to confirm that, in light of Elysium’s orders of substantial volumes of nicotinamide riboside and its full performance under the contracts, ChromaDex was similarly upholding its end of the bargain by providing Elysium with the lowest price.

66. On June 13, 2016, in response to that request, Jaksch sought to defraud Elysium by transmitting the Fraudulent Spreadsheet, which purported to list in “blinded” form the prices at which ChromaDex was selling nicotinamide riboside to purchasers other than Elysium, without identifying those other purchasers by name. Jaksch apparently meant to provide Elysium with only his blinded spreadsheet, as he indicated in the text of his e-mail: “Attached is a blinded summary of supply agreements for NR.”

67. The “blinded” sheet of the Fraudulent Spreadsheet purported to list all of ChromaDex’s customers who purchased nicotinamide riboside along with the per-kilogram price and royalty rates of each. The “blinded” sheet plainly was intended to convince Elysium that it was receiving the lowest price ChromaDex charged for nicotinamide riboside and that ChromaDex was in compliance with the MFN Provision.

68. ChromaDex might have succeeded in deceiving Elysium had Jaksch not inadvertently neglected to delete two “unblinded” sheets contained in the Excel spreadsheet that apparently provided the information from which ChromaDex



1 concocted the “blinded” sheet. The “unblinded” sheets list additional customers that  
2 Jaksch notably omitted from the “blinded” sheet. The list of omitted customers  
3 confirms that ChromaDex had, in fact, agreed to sell nicotinamide riboside to other  
4 purchasers at a price far more favorable than the price at which ChromaDex had sold  
5 nicotinamide riboside to Elysium.

6 69. The “unblinded” sheets of the Fraudulent Spreadsheet also confirm,  
7 contrary to what Jaksch had represented to Marcotulli and Alminana by phone on  
8 December 16, 2013 to induce them to sign the License and Royalty Agreement, that  
9 some purchasers of nicotinamide riboside were not required to sign license and  
10 royalty agreements or pay royalties. The Fraudulent Spreadsheet further disclosed  
11 that at least one of these customers, in ChromaDex’s own words, “pre-dates  
12 Elysium,” thus confirming that Jaksch’s representation was false when made.

13 70. The Fraudulent Spreadsheet, while sent to convince Elysium falsely that  
14 ChromaDex was complying with the NR Supply Agreement, thus revealed not only  
15 that ChromaDex had been acting in violation of the MFN Provision, but also that it  
16 had fraudulently induced Elysium to enter into the License and Royalty Agreement.

17 71. When pressed for an explanation, Jaksch sent a follow-up email on June  
18 14, 2016 conceding that at least one ChromaDex customer had paid less per  
19 kilogram for nicotinamide riboside than Elysium had paid – and that this customer  
20 did not have a royalty agreement in place. Jaksch’s admission – made just one day  
21 after he sent the Fraudulent Spreadsheet to Elysium – only serves to confirm  
22 ChromaDex’s intent to deceive Elysium, because this customer, which Jaksch  
23 obviously knew about, was not included on the “blinded” sheet.

24 72. On a June 30, 2016 phone call with Marcotulli and Alminana, Jaksch  
25 further confessed that other purchasers had been paying far less per kilogram for  
26 nicotinamide riboside than Elysium had been paying, in violation of the MFN  
27 Provision.



1       73. ChromaDex explained on the June 30 phone call that it also promised  
2 one customer that it would provide nicotinamide riboside for an even more  
3 substantial discount, also in violation of the MFN Provision.

4       74. At the time Elysium discovered ChromaDex's breaches of the MFN  
5 Provision, it had fully performed all of its obligations under the Agreements. In fact,  
6 Elysium had been an exemplary customer, even "self-policing" its contracts with  
7 ChromaDex to ensure that it had been paying all that it had agreed to pay under the  
8 Agreements.

9       75. Acting under the assumption that ChromaDex would provide a prompt  
10 credit or refund for its breach of the MFN Provision, as it was required to do under  
11 the contract, Elysium submitted the June 30 Purchase Orders for both nicotinamide  
12 riboside and pterostilbene.

13       76. After it submitted the June 30 Purchase Orders, Elysium discovered that  
14 ChromaDex's breach of the NR Supply Agreement was not limited to the breach of  
15 the MFN Provision. With respect to the Exclusivity Provision, Elysium learned,  
16 after the June 30 Purchase Orders were submitted, that other products containing  
17 both nicotinamide riboside and pterostilbene or resveratrol were being sold on the  
18 market by other ChromaDex customers.

19       77. Resveratrol is substantially similar to pterostilbene. ChromaDex's own  
20 website refers to pterostilbene as "closely related to resveratrol," an "analog of  
21 resveratrol," and a "derivative of resveratrol." And, in an April 27, 2010 press  
22 release, ChromaDex called pterostilbene a "next generation resveratrol."

23       78. During negotiations for the NR Supply Agreement, ChromaDex  
24 acknowledged that resveratrol was among those ingredients that would be considered  
25 "substantially similar" to pterostilbene. In fact, ChromaDex never disputed the  
26 substantial similarity between pterostilbene and resveratrol until it became  
27 advantageous for it to do so – that is, when ChromaDex was confronted with its  
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1 breaches of the Exclusivity Provision. Only when Elysium advised ChromaDex that  
2 it had learned ChromaDex was violating the Exclusivity Provision did ChromaDex  
3 abruptly change its tune and begin to deny that pterostilbene and resveratrol are  
4 substantially similar, despite ChromaDex's many prior statements to the contrary.  
5 ChromaDex did, however, admit that it was, and had been, selling NR and  
6 resveratrol in combination.

7 79. Elysium also learned after submitting the June 30 Purchase Orders that  
8 ChromaDex was not only enabling other customers to manufacture and sell products  
9 that combined nicotinamide riboside and pterostilbene or the substantially similar  
10 ingredient resveratrol, but was actively recommending to other customers that they  
11 create such products to compete with Elysium's Basis, in further violation of the  
12 Exclusivity Provision.

13 80. ChromaDex's breaches of the MFN Provision and Exclusivity Provision  
14 have caused Elysium substantial damages, including, but not limited to,  
15 consequential damages. Had Elysium in fact been paying the lowest price for  
16 nicotinamide riboside, it would have had more cash on hand to purchase more new  
17 inventory and to market or create new products. And, because Elysium was not the  
18 exclusive producer of a combination of nicotinamide and pterostilbene (or a  
19 substantially similar ingredient) as a result of the breach of the Exclusivity Provision,  
20 other customers likely bought competitors' products and compromised Elysium's  
21 market share.

22 **ChromaDex Fails to Remedy Its Breaches, Despite**  
23 **Elysium's Best Efforts to Resolve the Parties' Disputes**

24 81. Elysium expended significant effort attempting to resolve this dispute  
25 amicably. Elysium had several conversations with ChromaDex officers and  
26 directors, including Jaksch, Will Black (ChromaDex's Vice President of Sales and  
27 Marketing) and Rob Fried (a ChromaDex director), an in-person meeting with  
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1 Jaksch and Fried in California and a subsequent follow-up call with Jaksch and Steve  
2 Block (a ChromaDex director). Those discussions led to the exchange of proposals  
3 between ChromaDex and Elysium, but were hampered by ChromaDex's refusal to  
4 provide information to Elysium necessary to calculate the credit due for  
5 ChromaDex's breach of the MFN Provision.

6 82. Despite knowing that it was in material breach of the Agreements,  
7 ChromaDex failed to provide Elysium with the credit to which it is entitled, or even  
8 to engage in good faith discussions with Elysium to remedy the breaches.

9 83. Indeed, rather than simply provide the information Elysium sought,  
10 Block's proposal was for Elysium to conduct an audit to determine the credit to  
11 which it is entitled.

12 84. On December 7, 2016, Elysium requested such an audit from Tom  
13 Varvaro, ChromaDex's Chief Financial Officer.

14 85. Elysium's request for an audit was ignored. Instead, ChromaDex  
15 responded by issuing a "non-renewal" notice purporting to terminate the NR Supply  
16 Agreement as of February 2, 2017.

17 86. After Elysium requested the audit Block had offered, ChromaDex  
18 ceased communicating with Elysium through its officers and directors, and tasked  
19 Michael Brauser, one of its former directors who has, to Elysium's knowledge, no  
20 position within ChromaDex, to make a series of increasingly hostile and threatening  
21 calls to Elysium and one of its investors in an attempt to intimidate Elysium into  
22 forfeiting its rights and capitulating to ChromaDex's demands. When Elysium told  
23 Jaksch it would be pleased to continue discussions with ChromaDex management  
24 but found Brauser's behavior counterproductive, ChromaDex responded with this  
25 lawsuit.

26 87. ChromaDex's breaches not only damaged Elysium to an unknown  
27 extent, but also excused Elysium's further performance under the Agreements.

1           88. Only ChromaDex can know the full extent of its breaches of the Supply  
2 Agreements. Those breaches injured Elysium and caused it to sustain damages in an  
3 amount to be proven at trial.

4           89. Furthermore, ChromaDex fraudulently induced Elysium to execute the  
5 License and Royalty Agreement and to make substantial royalty payments under that  
6 contract. Elysium is entitled to recover those royalty payments and/or any further  
7 damages, in an amount to be proven at trial.

8           **Elysium's Sale of Basis After Termination of the NR Supply Agreement**

9           90. Elysium, by virtue of ChromaDex's supply of NR under the NR Supply  
10 Agreement, had an implied license of any patent rights held by ChromaDex covering  
11 or related to NR or its manufacture.

12           91. ChromaDex terminated the NR Supply Agreement effective February 2,  
13 2017.

14           92. In so doing, ChromaDex also terminated the implied license it had  
15 provided to Elysium in connection with the supply of NR.

16           93. On information and belief, when ChromaDex terminated the NR Supply  
17 Agreement ChromaDex knew that Elysium intended to continue selling Basis and  
18 knew that, in order to do so, Elysium would need another source of NR other than  
19 ChromaDex.

20           94. Despite the termination of the NR Supply Agreement, Elysium in fact  
21 does intend to continue, and has continued, to supply its customers with Basis, both  
22 now and in the future.

23           95. Elysium sells Basis using NR that is not sourced from ChromaDex.

24           96. In a May 2017 earnings call with investors, ChromaDex's CEO, Frank  
25 Jaksch, stated "[W]e are going to be focusing pretty heavily on NIAGEN as  
26 ingredient technology. We have a substantial patent portfolio underlying in  
27 protecting it and we have multiple different ways."

1           97. In an August 2017 earnings call with investors, Mr. Jaksch stated:  
2 “Elysium has stated that they have incorporated a new source of NR into their Basis  
3 product.” Moments later, Mr. Jaksch continued, “Today ChromaDex has a  
4 comprehensive global patent portfolio of 16 patents and applications spanning the  
5 processing use and composition of nicotinamide riboside. We will vigorously defend  
6 this estate.”

7           98. In that same earnings call, ChromaDex’s President and Chief Strategy  
8 Officer, Robert Fried, in reference to Elysium, stated that “[they] actually go out of  
9 their way to try to copy the ingredient and manufacture it who knows where and put  
10 it out in the marketplace.”

11           99. ChromaDex’s public statements impliedly threaten Elysium with the  
12 assertion of ChromaDex’s patent estate against Elysium based on Elysium’s  
13 continued sale of Basis containing NR. ChromaDex has created a reasonable  
14 apprehension of imminent patent litigation against Elysium.

15           100. There exists an actual and immediate controversy as to the  
16 enforceability of ChromaDex’s patent estate against Elysium.

17                           **ChromaDex Has not Purged its Patent Misuse**  
18                           **and Has Not Dissipated its Effects**

19           101. In its Third Amended Complaint ChromaDex alleged that it terminated  
20 the License and Royalty Agreement and that it was “unequivocally renounc[ing] any  
21 rights to collect or obtain royalties under the... License and Royalty Agreement with  
22 Elysium.” ChromaDex also alleged that it was “further refunding and/or crediting  
23 any and all past royalties paid by all customers pursuant to all ‘royalty-bearing  
24 trademark licenses.’” ChromaDex also alleged that “it will provide a credit to  
25 Elysium for all past royalties against the damages owed by Elysium in this case....”  
26 ChromaDex alleged that it has purged its patent misuse.

1           102. ChromaDex did not allege, and has not alleged, that the effects of its  
2 patent misuse have been dissipated.

3           103. Elysium has denied ChromaDex's allegation that ChromaDex has  
4 purged its misuse.

5           104. ChromaDex has not purged its patent misuse and the effects of  
6 ChromaDex's misuse have not been dissipated. Therefore, ChromaDex's patent  
7 rights remain unenforceable.

8           105. On information and belief, ChromaDex has not in fact refunded  
9 trademark royalties paid by customers other than Elysium. In fact, in its second  
10 quarter 2017 earnings conference call and in its second quarter 2017 securities  
11 filings, ChromaDex makes no mention of write-offs based on royalties owed by  
12 customers other than Elysium or losses based on royalties repaid to other customers.  
13 ChromaDex mentioned only royalties owed by Elysium.

14           106. As for royalties paid by Elysium, ChromaDex has not actually returned  
15 to Elysium any of the royalties paid by Elysium under the License and Royalty  
16 Agreement, much less the entire amount paid by ChromaDex.

17           107. In fact, ChromaDex has told the SEC, its investors, and the public that it  
18 might not be required to provide restitution of those royalties unless it is "forced" to  
19 do so in litigation. ChromaDex stated in its second quarter 2017 Form 10-Q filed  
20 with the SEC in August 2017 that it "***may be forced*** to pay... restitution for any  
21 royalty payments that we received from" Elysium, but only if "we are unsuccessful  
22 in resolving the litigation on favorable terms to us."

23           108. ChromaDex has also failed to dissipate other effects of its misuse.  
24 During the time in which ChromaDex unlawfully retained royalties obtained through  
25 its misuse, Elysium did not have access to those funds and lost the opportunity to use  
26 those funds for other purposes. ChromaDex has not repaid Elysium for the  
27 opportunity cost of its patent misuse or reasonable interest on the Elysium royalty  
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1 payments ChromaDex has retained. ChromaDex has not compensated Elysium in  
2 any way on account of Elysium's unlawfully imposed royalty payments and has not  
3 dissipated the effects of ChromaDex's patent misuse.

4 109. In addition, ChromaDex wrongly sued Elysium in an attempt to enforce  
5 the License and Royalty Agreement. As a result of that action, Elysium was required  
6 to expend substantial sums in attorneys' fees and costs. ChromaDex has not  
7 dissipated that additional effect of its patent misuse by repaying the fees and costs  
8 incurred by Elysium as a direct consequence of ChromaDex's attempt to enforce its  
9 unlawful agreement.

10 **FIRST COUNTERCLAIM FOR RELIEF**

11 **(Breach of Contract – NR Supply Agreement)**

12 110. Elysium incorporates and re-alleges each and every allegation in  
13 paragraphs 1 to 109 above as if fully set forth herein.

14 111. The parties entered into the NR Supply Agreement on February 2, 2014.

15 112. Elysium performed all of its obligations under the NR Supply  
16 Agreement, or its performance was excused by ChromaDex's breaches.

17 113. The NR Supply Agreement unambiguously requires that ChromaDex  
18 issue a refund or credit to Elysium in the event that ChromaDex sells nicotinamide  
19 riboside or a substantially similar product to another purchaser for a lesser amount  
20 than Elysium paid for nicotinamide riboside. (NR Supply Agreement § 3.1.)

21 114. ChromaDex sold nicotinamide riboside to other companies for a price  
22 less than the price at which ChromaDex sold nicotinamide riboside to Elysium but  
23 has not issued a refund or credit to Elysium, in breach of the NR Supply Agreement.

24 115. The NR Supply Agreement, as amended by the Amendment to Supply  
25 Agreement, unambiguously covenants that ChromaDex will not sell, transfer or  
26 otherwise provide to any third party, or license or otherwise enable any third party to  
27 produce, both nicotinamide riboside and pterostilbene or any ingredient substantially  
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1 similar to pterostilbene, either in combination or in separate form but marketed  
2 together. (NR Supply Agreement § 3.11.3.)

3 116. ChromaDex has created or sold products containing both nicotinamide  
4 riboside and pterostilbene (or the substantially similar analog resveratrol) in  
5 combination or has enabled third parties, including its other customers, to create such  
6 products, in breach of the NR Supply Agreement.

7 117. By failing to issue a refund or credit to Elysium, and by creating or  
8 selling, or permitting the creation or sale of, products other than Basis that contain  
9 both nicotinamide riboside and pterostilbene (or closely related analogs),  
10 ChromaDex has materially breached the NR Supply Agreement and denied Elysium  
11 the benefit of its bargain.

12 118. Elysium has suffered damages and continues to be damaged as a result  
13 of ChromaDex's breaches, in an amount to be determined at trial.

## 14 **SECOND COUNTERCLAIM FOR RELIEF**

### 15 **(Breach of the Implied Covenant of Good** 16 **Faith and Fair Dealing – NR Supply Agreement)**

17 119. Elysium incorporates and re-alleges each and every allegation in  
18 paragraphs 1 to 118 above as if fully set forth herein.

19 120. The NR Supply Agreement contains an implied covenant of good faith  
20 and fair dealing (the "Implied Covenant"), which forbids either party from doing  
21 anything to defeat the reasonable expectations of the other.

22 121. Elysium had the reasonable expectation that ChromaDex would not  
23 enable or encourage other companies to manufacture, sell or distribute products  
24 containing both nicotinamide riboside and pterostilbene or any substantially similar  
25 ingredient.

26 122. ChromaDex violated the Implied Covenant by recommending to other  
27 customers that they create products containing both nicotinamide riboside and either  
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1 pterostilbene or a substantially similar ingredient, which unfairly interfered with  
2 Elysium's right to receive the benefits of exclusivity under the NR Supply  
3 Agreement.

4 123. Elysium has suffered damages and continues to be damaged as a result  
5 of ChromaDex's breach of the Implied Covenant.

6 **THIRD COUNTERCLAIM FOR RELIEF**

7 **(Fraudulent Inducement – License and Royalty Agreement)**

8 124. Elysium incorporates and re-alleges each and every allegation in  
9 paragraphs 1 to 123 above as if fully set forth herein.

10 125. The parties entered into both the NR Supply Agreement and License  
11 and Royalty Agreement on February 2, 2014.

12 126. During negotiations, ChromaDex falsely represented to Elysium that it  
13 required all of its customers who signed nicotinamide riboside supply agreements  
14 also to execute license and royalty agreements, under which customers agreed to pay  
15 royalties on product sales for use of ChromaDex marks, in addition to whatever  
16 amount they paid per kilogram for nicotinamide riboside.

17 127. During a December 16, 2013 telephone call, Jaksch falsely represented  
18 to Marcotulli and Alminana that ChromaDex required all of its customers who  
19 purchased nicotinamide riboside to sign trademark license and royalty agreements,  
20 without regard to whether the customers wished or intended to use ChromaDex  
21 marks.

22 128. This representation was knowingly false when made. The Fraudulent  
23 Spreadsheet confirms that at least one purchaser of nicotinamide riboside that  
24 contracted with ChromaDex before Elysium did was not required to sign a license  
25 and royalty agreement or pay royalties.

26 129. Elysium justifiably relied on this misrepresentation because it believed  
27 ChromaDex's demand for a license and royalty agreement was non-negotiable, in  
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1 view of ChromaDex's false claim that it required an agreement of this nature from  
2 each and every one of its customers. Elysium therefore forwent the opportunity to  
3 negotiate an agreement with ChromaDex that did not require the payment of  
4 royalties, and instead focused its efforts in negotiations on other aspects of the NR  
5 agreement. At the time ChromaDex made the misrepresentation, Elysium was  
6 ignorant of its falsity and believed it to be true and could not have reasonably  
7 discovered the true facts.

8 130. The representation was made with the intent to deceive Elysium and  
9 induce it to enter into the License and Royalty Agreement and did, in fact, deceive  
10 and induce Elysium to enter into License and Royalty Agreement.

11 131. As a result of ChromaDex's fraud, Elysium is entitled to the return of all  
12 royalties paid under that contract or, in the alternative, damages in an amount to be  
13 proven at trial.

14 **FOURTH COUNTERCLAIM FOR RELIEF**

15 **(Declaratory Judgment of Patent Misuse)**

16 132. Elysium incorporates and re-alleges each and every allegation in  
17 paragraphs 1 to 131 above as if fully set forth herein.

18 133. ChromaDex has conditioned its supply of nicotinamide riboside, and  
19 access to patent rights accompanying such supply, on purchasers' (including  
20 Elysium's) agreement to license ChromaDex's trademarks, whether the purchasers  
21 want such a license or not.

22 134. ChromaDex has market power in the supply of nicotinamide riboside,  
23 and its tying of access to its patent rights to a royalty-bearing trademark license  
24 impermissibly broadens the scope of those patent rights, with anticompetitive effect.

25 135. ChromaDex's conduct constitutes misuse of its patent rights, including  
26 the '086 patent, the '807 patent and other patents asserted by ChromaDex as  
27 covering nicotinamide riboside or its use or manufacture.

1       136. The '086 patent, the '807 patent and other patents asserted by  
2 ChromaDex as covering nicotinamide riboside or its use or manufacture are  
3 unenforceable by ChromaDex unless and until ChromaDex has fully purged its  
4 misuse and dissipated all of the effects of that misuse.

5       137. ChromaDex has not purged its patent misuse and has not dissipated the  
6 effects of its misuse. ChromaDex has not, for example, actually returned any  
7 royalties paid by Elysium under the License and Royalty Agreement and, on  
8 information and belief, has not repaid any other customers. ChromaDex has not  
9 paid interest on those monies or for the opportunity cost to Elysium resulting from  
10 ChromaDex's unlawful retention of the royalties paid by Elysium, and it has not  
11 repaid the costs and attorneys' fees incurred by Elysium due to ChromaDex's  
12 attempts to enforce its unlawful License and Royalty Agreement.

13       138. Prior to February 2017, Elysium was an implied licensee of  
14 ChromaDex's patent rights as a consequence of ChromaDex's supply of NR to  
15 Elysium under the NR Supply Agreement.

16       139. Prior to the filing of this lawsuit, ChromaDex terminated the NR Supply  
17 Agreement, effective February 2017, thereby also terminating its licenses of patent  
18 rights to Elysium.

19       140. Elysium has been supplying, and intends to sell Basis to its customers.

20       141. ChromaDex has continued to tout its patent rights to its investors and  
21 the public, has stated that it intends to defend its patent rights in the context of  
22 describing Elysium's continued sale of Basis containing NR, has accused Elysium of  
23 obtaining supply of NR from another source, and has accused Elysium of "copying"  
24 NR. ChromaDex's statements have impliedly threatened Elysium with patent  
25 litigation and created a reasonable apprehension of suit.

1 142. ChromaDex has not provided Elysium with any covenant not to sue, let  
2 alone an irrevocable covenant not to sue, to enforce ChromaDex's patent estate  
3 against Elysium.

4 143. As a consequence of the foregoing, a substantial controversy exists  
5 between Elysium and ChromaDex, having adverse interests, and of sufficient  
6 immediacy and reality to warrant relief with respect to a determination of the  
7 enforceability of ChromaDex's patent rights.

8 **FIFTH COUNTERCLAIM FOR RELIEF**

9 **(Restitution for Unjust Enrichment)**

10 144. Elysium incorporates and re-alleges each and every allegation in  
11 paragraphs 1 to 143 above as if fully set forth herein.

12 145. ChromaDex's requirement, under the License and Royalty Agreement,  
13 that Elysium purchase a license and pay royalties for ChromaDex's trademarks, in  
14 exchange for access to ChromaDex's supply of NR and to ChromaDex's patent  
15 rights, was unlawful and constituted patent misuse.

16 146. Elysium paid royalties under the License and Royalty Agreement.

17 147. The License and Royalty Agreement was unlawful and unenforceable.

18 148. ChromaDex is and was unjustly enriched by retaining royalties paid  
19 under an unlawful and unenforceable agreement.

20 149. ChromaDex has not reimbursed Elysium for any royalties paid under  
21 the License and Royalty Agreement.

22 150. Elysium is entitled to restitution of royalties paid under the unlawful  
23 License and Royalty Agreement, plus interest and attorneys' fees.

24 **WHEREFORE**, Counterclaimant Elysium prays for judgment:

25 (1) For all damages available by reason of ChromaDex's breaches of the NR  
26 Supply Agreement including, without limitation, offset of the amount, if any,  
27 Elysium may owe to ChromaDex;

1 (2) For all damages available by reason of ChromaDex's breaches of the  
2 implied covenant of good faith and fair dealing;

3 (3) For all remedies available by reason of ChromaDex's fraudulent  
4 inducement of Elysium to enter into the License and Royalty Agreement, including,  
5 without limitation, compensatory damages, punitive damages and restitution of any  
6 royalty payments conveyed by Elysium pursuant to the agreement;

7 (4) Declaring that ChromaDex has misused the '086 and '807 patents and  
8 other patents asserted by ChromaDex as covering nicotinamide riboside or its use or  
9 manufacture;

10 (5) Declaring that ChromaDex has not purged its patent misuse and has not  
11 dissipated the effects of its misuse;

12 (6) Declaring that the '086 patent, the '807 patent and other patents asserted  
13 by ChromaDex as covering nicotinamide riboside or its use or manufacture are  
14 unenforceable by ChromaDex as a consequence of ChromaDex's patent misuse;

15 (7) For restitution of all royalties paid to ChromaDex by Elysium pursuant to  
16 the License and Royalty Agreement, and all interest that would otherwise have been  
17 earned on such royalties;

18 (8) For Elysium's costs and attorneys' fees;

19 (9) For such other and further relief as the Court may deem just and proper.

20 **DEMAND FOR JURY TRIAL**

21 Defendant/Counterclaimant Elysium respectfully requests a trial by jury on all  
22 issues so triable.

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1 DATED: October 11, 2017

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3 SKADDEN, ARPS, SLATE, MEAGHER & FLOM LLP  
4 FOLEY HOAG LLP

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